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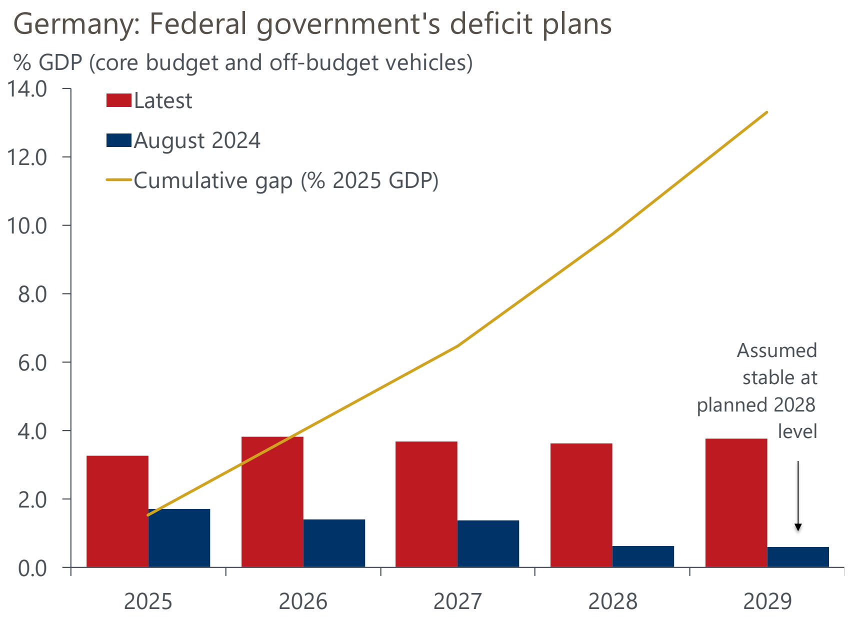
Research Briefing | Germany

Government's fiscal plans show ambition, but can it deliver?

- **The German finance ministry's draft budget for 2025 and updated medium-term fiscal plan show the government is embarking on a major spending spree to quickly reach NATO's new spending target, modernise the country's creaking infrastructure, and end the economy's slumber. This broadly supports the large upward revisions to Germany's growth outlook that we made in April.**
- **There's some upside risk to our call. The planned additional federal deficits until 2029 exceed last year's plans by nearly €600bn, close to €100bn more than our baseline implies. By 2029, the federal deficit could amount to about 3.7% of GDP, and likely just above 4% including other levels of government. This is a significant gap compared with our 3.6% of GDP deficit forecast.**
- **However, we're unconvinced that the plans will materialise in full. The budget is even more tilted towards investment than we thought, but defence and construction firms will struggle to absorb all the funding. We therefore don't plan major changes to our medium-term growth forecasts.**
- **Part of the additional deficit is a result of tax cuts, whose impact on capex is already reflected in our GDP forecast. Moreover, the deficit plans may clash with EU rules, and the planned quick ramp-up in defence spending is likely, in part, merely a signal of willingness to comply with US demands ahead of the NATO summit.**
- **Outside of defence and infrastructure investment, which are broadly exempt from the national deficit limits, the plan is for fiscal consolidation; for example, by cutting public employment. This is also intended to limit the upward drift in public debt and account for large increases in interest payments.**
- **The speed with which the new government has agreed the budget and fiscal plans shows a strong focus on tackling the economy's vulnerabilities and addressing the new geopolitical needs. But Germany's weak economic fundamentals and unaddressed budget holes, which require consolidating the core budget, could test the coalition's cohesion.**

Chart 1: New government plans a massive spending spree



Source: Oxford Economics/BMF

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After fewer than 50 days in office, the CDU-SPD coalition yesterday agreed its draft budget for the current calendar year as well as the medium-term fiscal plans out to 2029. These plans show the government is embarking on a major spending spree to quickly reach NATO's new spending target, modernise the country's creaking infrastructure, and bring an end to the economy's slumber. From a political perspective, it's also an attempt to curb the ascent of extremist parties and strengthen the political centre.

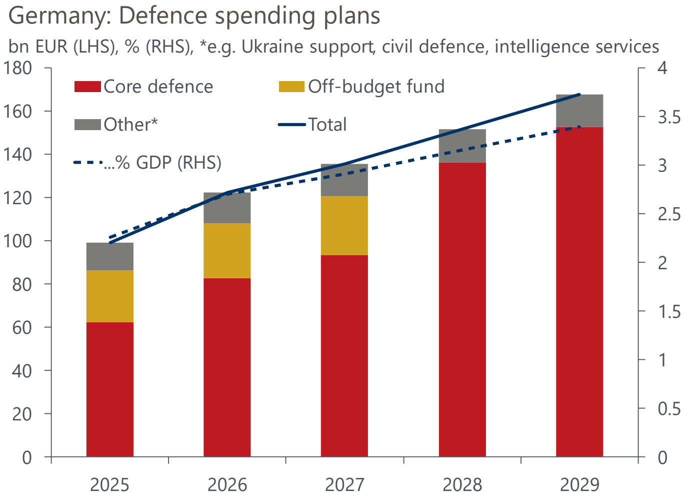
The urgency doesn't only stem from a desire to tackle some of Germany's weaknesses and end the long period of economic stagnation. Most likely, it was also meant as a signal for the NATO summit. There, the new German Chancellor Friedrich Merz was able to tout his coalition's plan to reach the likely new 3.5% of GDP core defence spending target by 2029, much earlier than the target of 2035.

Fiscal plans point to some upside risk to our fiscal assumptions

Overall, the announcement was broadly in line with the assumptions we made when we upgraded our medium-term growth outlook for the German economy. But if anything, the fiscal plans look even more far-reaching than we assumed. Over the government's term, the cumulative federal deficit could amount to €850bn, nearly €600bn wider than last year's medium-term plan had shown (**Chart 1**).

An exact comparison to our baseline is difficult as yesterday's announcement only included the federal government's plans, whereas our forecast is for the general government deficit, which includes the states, the social security system, and the municipalities. There are also conceptual differences between the deficit data we use. But as a ballpark, our latest deficit forecasts for 2025 to 2029 are around €500bn larger than we projected last year.

Chart 2: Government plans sharp rise in defence spending



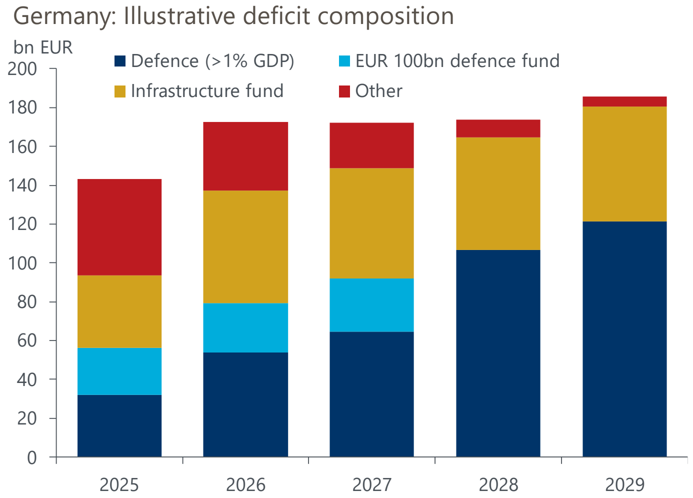
Source: Oxford Economics/BMF/BMWE

The key difference is likely that the new government aims to raise core defence spending to 3.5% of GDP by 2029 (**Chart 2**). We'd previously assumed that 3% of GDP would be the ceiling. But discussions within NATO ahead of the key summit, as well as attempts to placate US President Donald Trump, likely drove the decision to pledge a larger increase. The government included defence-related items, such as spending on civil defence and intelligence services and support to Ukraine, in its numbers, which also explains part of the difference.

The new government's other key priority is increasing public investment. Annual spending will exceed €100bn according to the new plans, on average 2.5% of GDP and around 50% higher than previous plans. This includes not only direct federal investment but also investment grants to the 16 federal states and firms such as the German train operator. For the former, this may be more about plugging budget holes for the states. Nonetheless, the overall increase in planned public investment is very large.

There was also an emphasis in the announcement on addressing fiscal sustainability concerns arising from a large spending spree in an economy with low potential growth. Spending plans in areas outside of defence and infrastructure are restrained, with several ministries facing stagnant or even declining budgets – their contribution to the deficit is planned to shrink materially in the coming years (**Chart 3**). However, media outlets have already reported that the medium-term fiscal plans contain a sizeable budget hole of €144bn. This underscores just how ambitious the ramp-up in some areas is and the required savings in others. The coalition is too new and the urgency of the defence needs too high for this to become a political fight now. But tensions will likely emerge over time. Moreover, this issue will probably play a role in the planned commission to overhaul the constitutional debt brake later this year. We're sceptical that the government will be able to loosen the brake, given it needs support from two opposition parties, both of which have reasons not to back a change. In other words, we are not convinced that these medium-term plans are set in stone.

Chart 3: Government plans to tighten fiscal policy, outside of defence and infrastructure



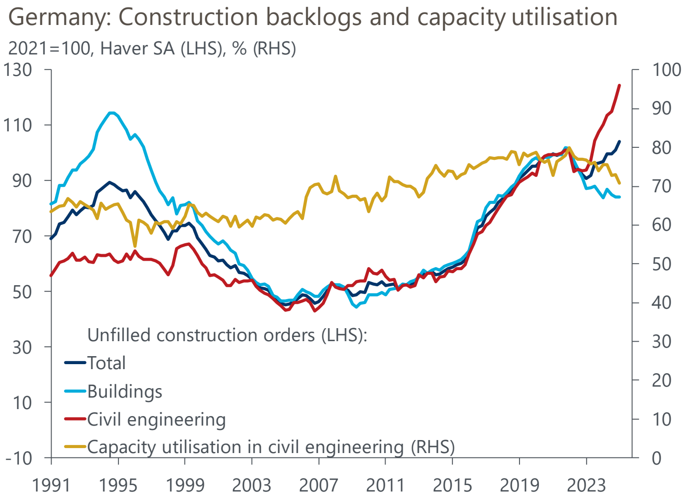
Source: Oxford Economics

Government will likely struggle to implement all of its spending plans

We don't think there's yet any reason to make material changes to our medium-term forecasts. We were concerned that the economy, notably the industrial and construction sectors, would struggle to absorb all the funds, even before the additional spending was announced. The seemingly more ambitious fiscal plans released yesterday imply that implementation will be even more of an uphill battle than we thought.

We discussed the massive challenge that a region-wide steep increase in defence spending will pose to European industry, given already stretched capacity in the most relevant sectors. A similar argument applies to increased infrastructure spending. Even assuming the government quickly implements the planned easing in regulatory hurdles for construction projects, we think clear downside risks to implementation remain. Backlogs in civil engineering in Germany have surged despite low reported capacity utilisation, pointing to bottlenecks in some key areas (**Chart 4**). Therefore, we think the budget deficit may be narrower than planned. But even if government demand is met, this may come at the cost of crowding out private investment. Lastly, some of the additional investment includes a big grant to the train operator to sustain current investment plans. We will publish a piece looking in more detail at the sectoral constraints.

Chart 4: Sectors sensitive to public investment already struggle to meet current demand

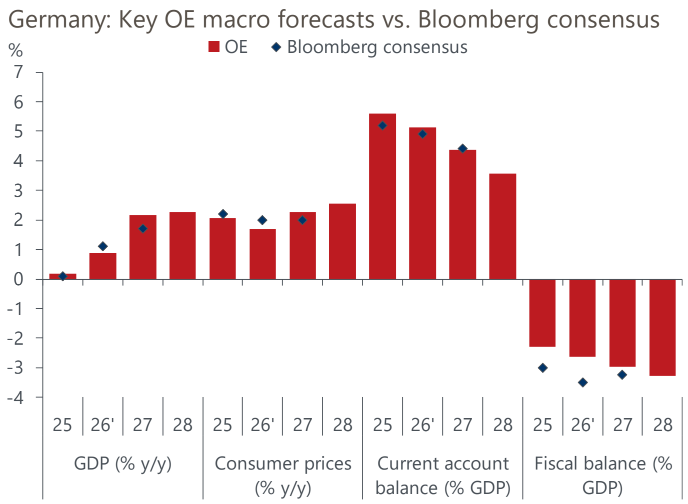


Source: Oxford Economics/Haver Analytics

Another reason we're wary of making large changes to our forecasts is that we've already allowed the stronger domestic demand from easier fiscal policy to feed through to a sizeable increase in business investment, despite the crowding out effects that we anticipate. Therefore, the planned cuts of the statutory corporate tax rate starting in 2028 and the tax incentives for higher capex until 2027 function more as a support to corporate cashflow and profitability. Tax incentives may also not be very effective in bolstering capex in the near term, given the prevailing uncertainty over US trade policy.

Overall, although we'll examine the government's fiscal plans in more detail in the coming days and track the parliamentary process, we're unlikely to make big changes to our medium-term growth forecasts, which are already above consensus (**Chart 5**). We're simply unconvinced that the investment splurge is feasible. It's likely that we will adjust our deficit forecast upwards, though.

Chart 5: Our GDP forecast for 2027 and after is above consensus



Source: Oxford Economics/Bloomberg LP

Nonetheless, there is some good news. The latest increase in the business confidence signalled by the rise in the [ifo index] in June will likely in part reflect the fiscal announcement, but we think it may also signal that the underlying growth momentum is a bit better than we thought – tariffs and uncertainty seem to be less of a drag than feared. We'll discuss upside risks to our near-term growth path in an upcoming Research Briefing, although risks remain tilted to the downside as we await the outcome of the EU-US trade negotiations.

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